

SpyGlass Snapshot Audit Agreement

Approved a...
form only:
Date: 6/30/21

This agreement, effective as of the later of the dates of signature below ("Effective Date"), is between **City of Cheyenne** ("Company"), and **The SpyGlass Group, LLC**, an Ohio limited liability company ("Auditor").

1. **Primary Audit Services.** Company is engaging Auditor as an independent contractor to analyze its primary telecommunications service accounts (local voice, long distance voice, data, Internet, and wireless) to seek cost recovery, service elimination and cost reduction recommendations. Auditor will deliver the recommendations to Company, implement recommendations that Company elects for Auditor to implement, and deliver a complete telecommunications inventory to Company.

While Auditor is performing its analysis, Company will not make changes or perform internal cost reduction analysis with respect to provider accounts which Company has included within the scope of Auditor's review.

2. **Fees.** Company will pay Auditor the applicable fee set forth below **ONLY** for Auditor recommendations implemented within twelve (12) months of Auditor delivering the recommendation to Company:

- 50% of any "Cost Recovery", as defined below
- 12 times any "Service Elimination Savings", as defined below
- 12 times any "Cost Reduction Savings", as defined below

"Cost Recovery" is any refund, credit or compensation received by Company relating to past services or charges.

"Service Elimination Savings" is any monthly cost reduction received by Company relating to cancellation of any service, including monthly usage cost reduction (calculated as the average of the last 2 months of usage costs associated with the cancelled service).

"Cost Reduction Savings" is any monthly cost reduction received by Company relating to the modification, consolidation or negotiation of any service, account or contract, including post discount usage rate improvement (calculated as the (a) decrease in post discount per unit pricing realized by Company for any service, times (b) the average of Company's last two (2) months usage levels measured in such units for the modified service).

3. **Invoicing and Payment.** Fees for Cost Recovery are due as a one-time payment within 10 days of verification that Company has been issued the refund, credit or compensation resulting in such fees. Fees for Service Elimination Savings and Cost Reduction Savings are due as a one-time payment within 10 days of verification that the cancellation or other activity resulting in the Service Elimination Savings or Cost Reduction Savings has been completed. Auditor may issue separate invoices as different fees are earned.

4. **Miscellaneous.** This agreement is governed by the laws of the State of Wyoming, without regard to principles of conflicts of law, and may be executed by facsimile and simultaneously in multiple counterparts. Company agrees that Auditor does not warranty the overall performance, Company satisfaction, or data accuracy of any telecommunications related carrier, provider, software manufacturer or vendor at any time whatsoever during or after the term of this agreement. Each person signing this agreement on behalf of a party represents that he or she has been duly authorized to sign this agreement and to bind the party on whose behalf this agreement is being signed by that signatory. AUDITOR SHALL NOT BE LIABLE TO THE COMPANY FOR INCIDENTAL, CONSEQUENTIAL, SPECIAL OR PUNITIVE DAMAGES, INCLUDING, WITHOUT LIMITATION, LOST PROFITS OR BUSINESS INTERRUPTION, WHETHER SUCH LIABILITY IS ASSERTED ON THE BASIS OF CONTRACT, TORT OR OTHERWISE, EVEN IF EITHER PARTY HAS BEEN WARNED OF THE POSSIBILITY OF ANY SUCH LOSS OR DAMAGE IN ADVANCE. IN ADDITION, IN NO EVENT SHALL AUDITOR'S LIABILITY TO COMPANY EXCEED THE FEES ACTUALLY PAID BY COMPANY TO AUDITOR.

IN WITNESS WHEREOF, the parties hereto have executed this agreement as of the Effective Date.

COMPANY

City of Cheyenne

Signature: _____

Print Name: _____

Date: _____

AUDITOR

The SpyGlass Group, LLC

Signature: _____

Print Name: Edward M. DeAngelo

Date: _____



SPYGLASS EXECUTIVE SUMMARY

COMPANY OVERVIEW – THE SPYGLASS GROUP, LLC

- Specialized cost consulting firm focused on optimizing recurring telecommunications and network service billing (Voice, Data, Internet, Cloud Services, Data Center activity, and Mobility/Cellular).
- Totally vendor independent with no agency or distributor relationships with carriers.
- Organizations that engage SpyGlass typically have one or more of these concerns:
 - They desire cost savings and more transparency into the complex bills they receive.
 - They are interested in identifying the services they pay for but don't use.
 - They don't feel their carriers have their best fiscal interests in mind.
- Actively operating in all 50 states and Canada with more than 15,000+ clients

THE SPYGLASS PROCESS FOR YOUR ORGANIZATION

- SpyGlass' proprietary analytical process will identify opportunities in the following areas:
 - Recovery of past bill mistakes - billing inconsistent with contracts or tariffs
 - Elimination opportunities - usage analysis to uncover dormant services
 - Cost reduction opportunities – overall optimization of the cost center
 - Consolidation and volume leveraging
 - Geographic market analysis to streamline rate structures
 - Slamming and cramming identification
 - Fraud, tariff, and tax analysis
- Steps of the audit process
 - Kickoff to collect materials needed (2 months billing and Letter of Agency) and introduce project staff
 - Analysis completed at SpyGlass HQ and takes SpyGlass roughly four weeks to complete
 - Findings are presented to client along with account inventories
 - Client determines which recommendations it would like to implement
 - SpyGlass performs all implementation work
 - Success based fees
 - If we don't find anything or you choose not to implement anything, you pay zero
 - Fees only pertain to the recommendations your organization selects
 - Fees are a portion of the savings achieved

WHY ORGANIZATIONS NEED SPYGLASS

- Organizations struggle to find these savings on their own because the carrier billing only provides about 25% of the data needed to control the cost center. SpyGlass can get the rest of the data
- Carrier billing statements are notoriously vague and difficult to understand
- Client staff is stretched thin and lack expertise to thoroughly conduct review internally
- Organizations cannot use their own providers to find these savings because providers aren't financially motivated to audit their own billing. This is taking money out of their own pockets. On the other hand, SpyGlass is only compensated if savings are found and implemented

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WWW.SPYGLASS.NET

SpyGlass

****DELETE THIS SECTION AND PRINT TO
COMPANY LETTERHEAD. SPYGLASS WILL
FILL IN PROVIDER INFORMATION, JUST
SIGN AND DATE****

**Letter of Agency – Authorization to Access
Telephone Provider Records**

By signing this letter below, I am giving authorization to The SpyGlass Group, LLC and its affiliates (a) to access any and all customer service records, account information, contracts, long distance carrier information, pending order activity and/or any other information relevant to my local or long distance telecommunications service (voice or data), and (b) to establish electronic or online access to any billing for such service, if not already established, or if already established, to be provided login information for such electronic or online access. At SpyGlass' request, I give authorization to Provider to transmit customer service records and any requested documentation via email, fax to 440-348-9355 or mail to The SpyGlass Group, LLC, 25777 Detroit Rd., Ste. 400, Westlake, Ohio 44145. I represent that I have the authority to execute this form and grant this permission and I hereby desire for SpyGlass to be added as an authorized point of contact (POC) for these accounts. This permission shall remain in effect until I affirmatively revoke it. If I withdraw the authorization set forth in this Letter, I will notify Provider immediately in writing.

Client Information:

Signing Employee's Name: _____

Company Name: _____

Address: _____

City, State, Zip: _____

Telephone: _____

Provider Information:

Provider Name: _____

Account Number (s): _____

Authorized Signature: _____

Date: _____